

Banco Santander Chile

Company, Financial-Engine & Market-Position Analysis

NYSE: BSAC • Santiago: BSANTANDER • Systemically Important Bank (CMF, Chile)

Scope of this report

An institutional research brief on Banco Santander Chile — the largest bank in the Chilean financial system by total assets — prepared for investing, quantitative finance, macro-finance and business-analysis purposes. The report covers the bank's business model, three-statement financial engine, competitive position, macro-financial exposures, and quantitative metrics, and closes with a structured summary of key facts, mechanisms, risks and research questions.

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US\$75.6bn Total assets (FY25)	US\$1.17bn Net income (FY25)	23.5% ROAE (FY25)	US\$15.7bn Market cap (2026)	16.8% Mkt share, #1	67.2% Santander SA stake
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Prepared using company filings, investor-relations disclosures, regulatory (CMF, BCCh) and market data.
Report date: August 2026. See Sources and Data Limitations sections for detail and caveats.

WHAT IT IS

Banco Santander Chile is Chile's largest bank by total assets (16.8% market share, FY2025) and the Chilean subsidiary of Grupo Santander (Spain), which holds 67.2% of its shares. Formed through the 2002–03 merger of the original Banco Santander Chile (est. 23 Oct 1978) with Banco Santiago, it is a full-service, systemically important bank serving ~4.8 million individual, SME and corporate clients through branches, digital channels and a payments platform (Getnet).

SIZE & REACH

US\$75.6bn total assets • US\$45.4bn gross loans • US\$33.9bn deposits • US\$15.7bn market capitalization (2026) • 8,526 employees • ~504 branches • nationwide coverage; listed on the NYSE (ADR: BSAC, 400:1) and the Santiago Stock Exchange (BSANTANDER).

MAIN SEGMENTS

- Commercial Banking (retail individuals & SMEs) — 70.4% of loan book
- Wealth Management & Insurance
- Middle-Market / Business & Institutional Banking
- Corporate & Investment Banking (Global Banking & Markets)
- Enterprise / Payments — Getnet, Superdigital

CUSTOMERS & COUNTERPARTIES

Retail individuals, SMEs, mid-market and large corporates, institutional/government counterparties, correspondent banks and capital-markets counterparties (treasury/CIB). ~2.7 million active customers (1Q26); 85% of active users are digital.

HOW IT MAKES MONEY

Net interest income from lending funded by low-cost deposits and wholesale funding, enhanced by UF (inflation-indexed) asset repricing; fee income from cards, transaction banking, insurance and asset management (21% of revenue, up from 15%); treasury/markets income from FX and fixed income; and payments income via Getnet.

Total assets (FY25)	US\$75.6bn
Net income (FY25)	US\$1.17bn
ROAE (FY25)	23.5%
NIM (FY25)	4.0%
Efficiency ratio	36.0%
CET1 ratio	11.0%
Mkt share, assets (#1)	16.8%
Dividend yield	4.5%

POSITION IN THE FINANCIAL SYSTEM

One of six CMF-designated systemically important banks in Chile, at the highest 1.75%-of-RWA capital surcharge tier; a primary counterparty to the Chilean state, pension funds (AFPs — its second-largest shareholder block), correspondent banks and global capital markets; a key transmission channel for BCCh monetary policy into household and corporate credit.

MAIN MARKETS & MACRO EXPOSURES

BCCh policy rate (4.5%, Jul-26); CPI/UF inflation (3.9% YoY); copper-driven GDP and mining-investment cycles; USD/CLP; household and corporate credit quality; Chilean political/regulatory risk (new administration from Mar-26; tax and fintech/open-finance reform underway).

COMPETITIVE ADVANTAGES / RISKS

(+) Scale and funding-cost edge as the #1 bank by assets; best-in-class 36.0% efficiency ratio; Grupo Santander global platform and risk infrastructure.

(–) Highest SIB capital surcharge among peers; NIM sensitive to the rate-cutting/disinflation cycle; mortgage asset-quality pressure amid slow judicial collection.

MAIN COMPETITORS

Banco de Chile (#1 by 2025 net income), BCI (incl. City National Bank of Florida), BancoEstado (state-owned, #1 in mortgages), Scotiabank Chile, Itaú Chile, Banco Falabella, Banco BICE, Banco Consorcio, Banco BTG Pactual.

WHY THE COMPANY MATTERS

As Chile's largest private lender and a top payments/consumer-finance franchise, Santander Chile is a direct read-through on Chilean consumer and corporate credit cycles, a key BCCh policy-transmission node, and a material contributor to Grupo Santander's Latin American earnings.

DETAILED ANALYTICAL REPORT

The sections below examine Banco Santander Chile as a business, a financial engine, a competitor, and a node in Chile's financial and macroeconomic system. Figures are drawn from company disclosures, CMF/BCCh data and market sources current as of August 2026; every material figure is dated. Calculated or estimated figures are marked explicitly.

1. COMPANY AT A GLANCE

Legal name	Banco Santander-Chile
Founded	23 October 1978 (Santiago); current entity formed via the Aug. 2003 merger with Banco Santiago
Headquarters	Santiago, Chile (Bandera 140; relocation to Las Condes announced 2022)
Ownership	Banco Santander, S.A. (Spain) 67.2%; institutional investors 31.7% (incl. Chilean AFPs); free float / other 1.2%
Leadership	Román Blanco — General Manager & Country Head (since July 2022)
Organizational type	Publicly listed universal bank; systemically important financial institution (CMF)
Employees	8,526 (FY2025); down from 9,988 in FY2021 (–14.6%, digital-driven headcount reduction)
Scale (FY2025)	Total assets US\$75.6bn; gross loans US\$45.4bn; deposits US\$33.9bn; market cap ~US\$15.7bn (2026)
Geographic presence	Nationwide Chile, ~504 branches; NYSE-listed ADR gives it a global investor base
Major subsidiaries	Santander Asset Management; Santander Corredora de Bolsa; Santander Corredores de Seguros; Getnet (payments); Superdigital (digital wallet)

Banco Santander Chile is the Chilean banking subsidiary of Grupo Santander and the largest bank operating in Chile by total assets, combining a nationwide retail and SME franchise with middle-market, corporate and investment-banking, treasury and payments operations; it is majority-owned and controlled by its Spanish parent but is independently listed, regulated as a systemically important domestic bank by the CMF, and run day-to-day by a locally based management team under a country-head structure.

Shareholder Structure (2025)

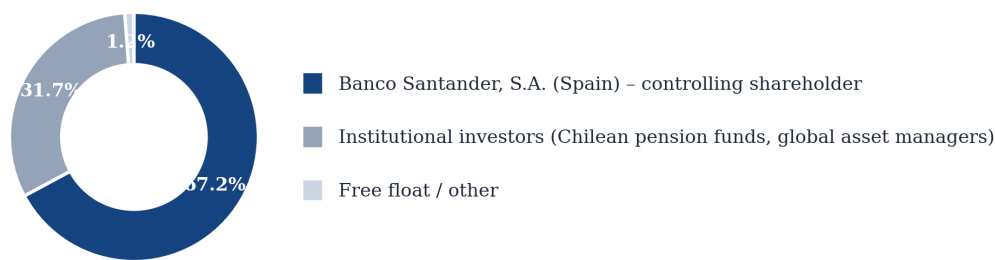


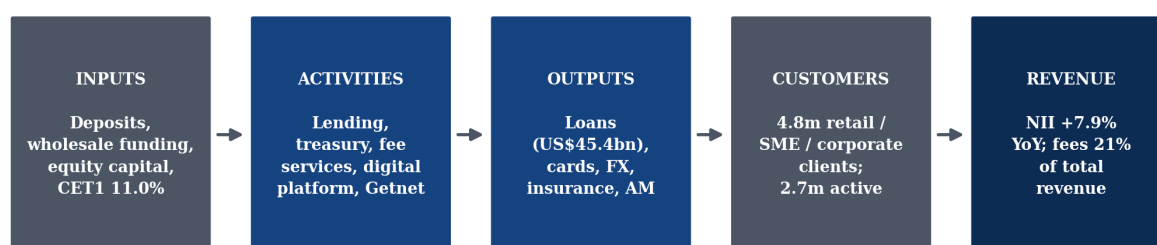
Figure 1. Shareholder structure. Source: company ownership disclosures / market data providers, 2025.

2. WHAT THE COMPANY ACTUALLY DOES

Santander Chile organizes its commercial activity into five client-facing divisions, each with a distinct product set, funding profile and risk character. Commercial Banking — individuals and SMEs — is by

far the largest, accounting for 70.4% of the loan book; it is funded primarily by low-cost transactional and savings deposits and monetizes through lending spreads, cards, and fee-based transaction services. Wealth Management & Insurance serves affluent and mass-affluent clients with investment, insurance-brokerage and advisory products, a fee-heavy, capital-light business. Middle-Market / Business & Institutional Banking and Corporate & Investment Banking (Global Banking & Markets) serve larger companies, institutions and government counterparties with credit, cash management, FX, fixed-income and capital-markets services — funded more by wholesale liabilities and monetized through both spread and markets/trading income. Enterprise Products, anchored by the Getnet payments platform (a joint go-to-market with PagoNxt/Santander Group) and the Superdigital wallet, generates transaction-based fee income and is central to the bank's push to acquire SME and micro-merchant relationships.

Value & Cash Flow — Banco Santander Chile Operating Model



Costs & risks: funding cost, credit provisions (cost of risk ~1.3% target), opex (efficiency ratio 36.0%), capital charges (SIB surcharge 1.75% RWA)

Figure 2. Simplified value and cash-flow chain across the bank's operating model. Source: author's synthesis from company disclosures (Q4 2025 / Q1 2026 results, investor presentations).

Value flows through the bank as follows: deposits, wholesale funding and equity capital are gathered as inputs; these fund lending, treasury and fee-generating activities; the resulting loan book, cards, FX, insurance and asset-management products are distributed to roughly 4.8 million retail, SME and corporate customers (2.7 million active); and the relationship converts into net interest income, fees and trading income, net of funding cost, credit provisions, operating expense and regulatory capital charges. The bank's strategic emphasis since 2022 has been shifting this mix toward fee income (up to 21% of revenue from 15%) and toward digital self-service (85% of active customers digital), which both diversifies revenue away from pure interest-rate sensitivity and supports the efficiency-ratio improvement to 36.0% in FY2025.

3. FINANCIAL ENGINE

Income statement. FY2025 net income was CLP 1,053bn (~US\$1.17bn), up 22.8–23.7% year-on-year (sources vary slightly by FX conversion date), driven by net interest income growth of 10.9% and net commission growth of 8.9%. The net interest margin expanded to 4.0% (from 3.6% in FY2024) as loan repricing and UF (inflation-indexed) asset yields outpaced funding costs; in Q1 2026, however, NIM compressed to 3.8% (from 4.1% in 1Q25) as disinflation reduced the UF variation embedded in asset yields (0.3% in 1Q26 vs. 1.2% in 1Q25) — a direct illustration of the bank's structural exposure to inflation surprises. Operating expenses grew just 1.8% YoY against 10.2% operating-income growth, pushing the efficiency ratio down to 36.0% for FY2025 and further to 32.5% in 1Q26 — among the best in the Chilean banking system.

Balance sheet. Gross loans of US\$45.4bn are funded by US\$33.9bn of deposits plus wholesale funding and equity; the CET1 ratio stood at 11.0% (FY2025) / 10.9% (1Q26), with a total BIS capital ratio of 16.9% / 16.4%. As one of six CMF-designated systemically important banks, Santander Chile carries a Pillar 2 / SIB capital surcharge widely understood to sit at the top tier (1.75% of risk-weighted assets) — higher than the 1.0% global-SIB surcharge applied to its parent, Banco Santander S.A., reflecting its domestic systemic footprint. Management guided risk-weighted assets to grow only ~2% in 2026 despite 5–6% loan growth, implying a shift toward lower risk-weight lending and continued capital-efficiency management.

Cash flow & capital return. As a bank, Santander Chile's cash-flow statement is of secondary analytical importance relative to the income statement and balance sheet; the more relevant capital-flow metric is the dividend payout, set at 60% of FY2025 earnings (with 2026 guidance of 60–70%), translating into a trailing dividend yield of ~4.5–4.54% on the NYSE-listed ADR. Retained earnings (the balance not paid out) are the primary internal source of CET1 capital generation, alongside RWA optimization.

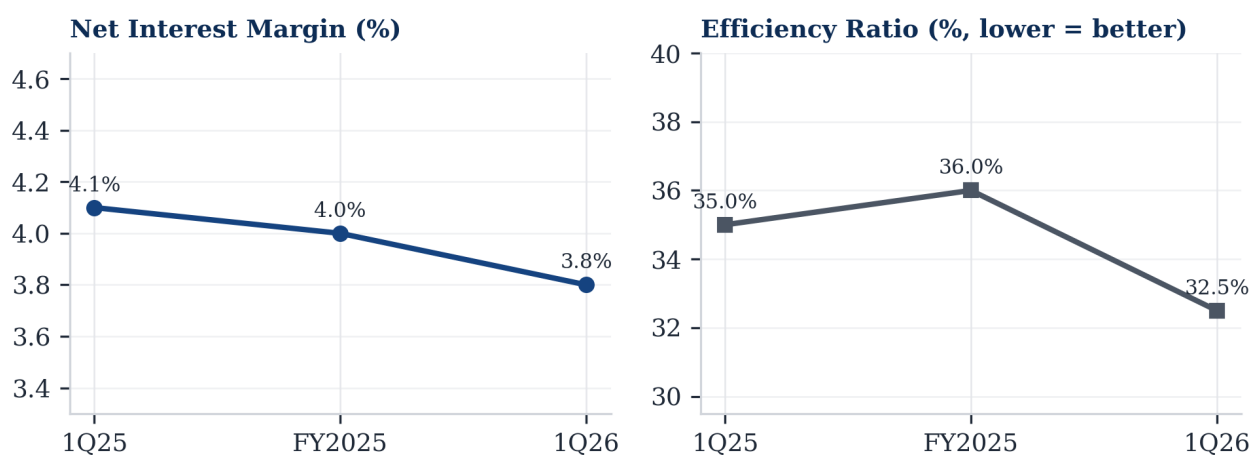


Figure 3. Net interest margin and efficiency ratio, 1Q25 → FY2025 → 1Q26. Source: company quarterly results releases.

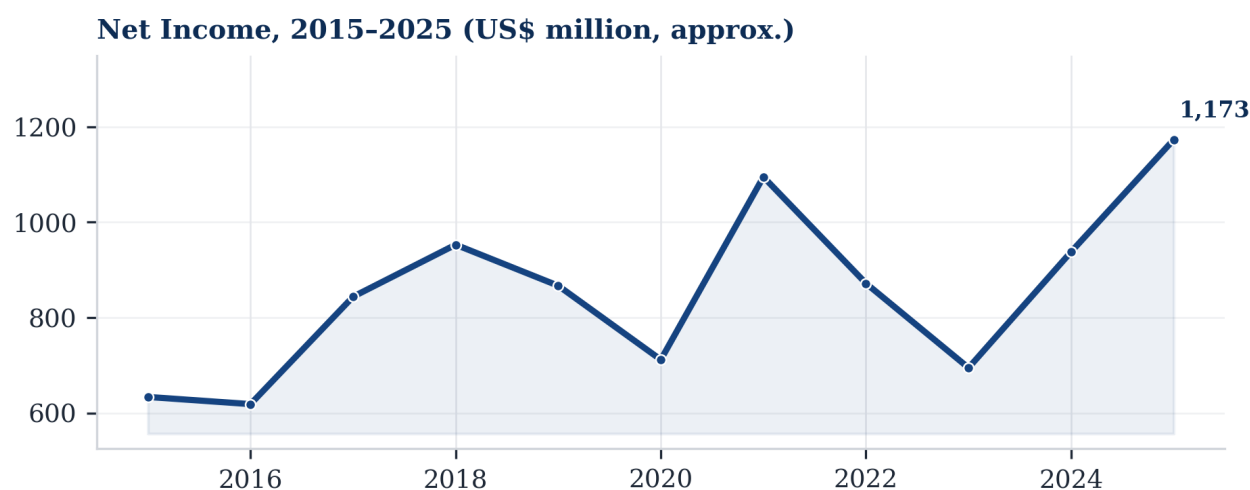


Figure 4. Net income, 2015–2025 (US\$ million, approximate FX-converted). Source: company financial statements, compiled via public financial-data aggregators (see bibliography); figures are indicative and subject to reporting-currency/translation differences across sources.

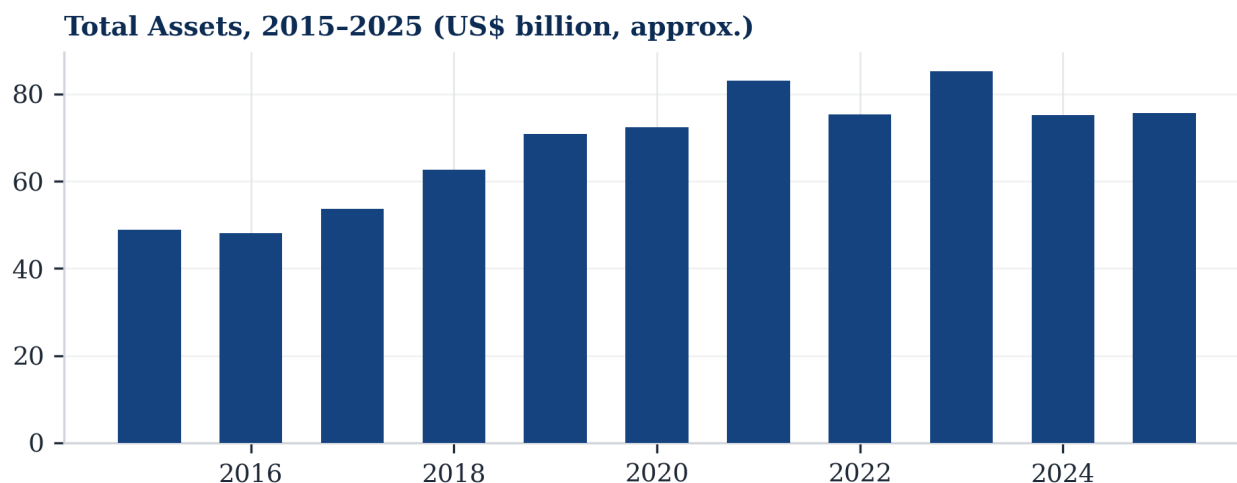


Figure 5. Total assets, 2015–2025 (US\$ billion, approximate). Source: as Figure 4.

4. BUSINESS & MARKET POSITION

Chile's banking system held US\$454.8bn in total assets across 16 institutions at end-2025, with the top five controlling 75.1% — a concentrated, oligopolistic market. Within it, Santander Chile is the largest bank by total assets (16.8% share, though down from 17.3% in 2024), narrowly ahead of Banco de Chile (16.1%), the state-owned BancoEstado (15.7%) and BCI (14.1% on a domestic basis; BCI's consolidated global balance sheet is larger once its U.S. subsidiary, City National Bank of Florida, is included). Position varies materially by product: Santander leads in consumer loans (19.1%) and is a strong #2 in mortgages (19.5%, behind BancoEstado's 20.0%), but trails in commercial/business loans (14.2%, #4) where Banco de Chile and BCI have stronger corporate franchises.

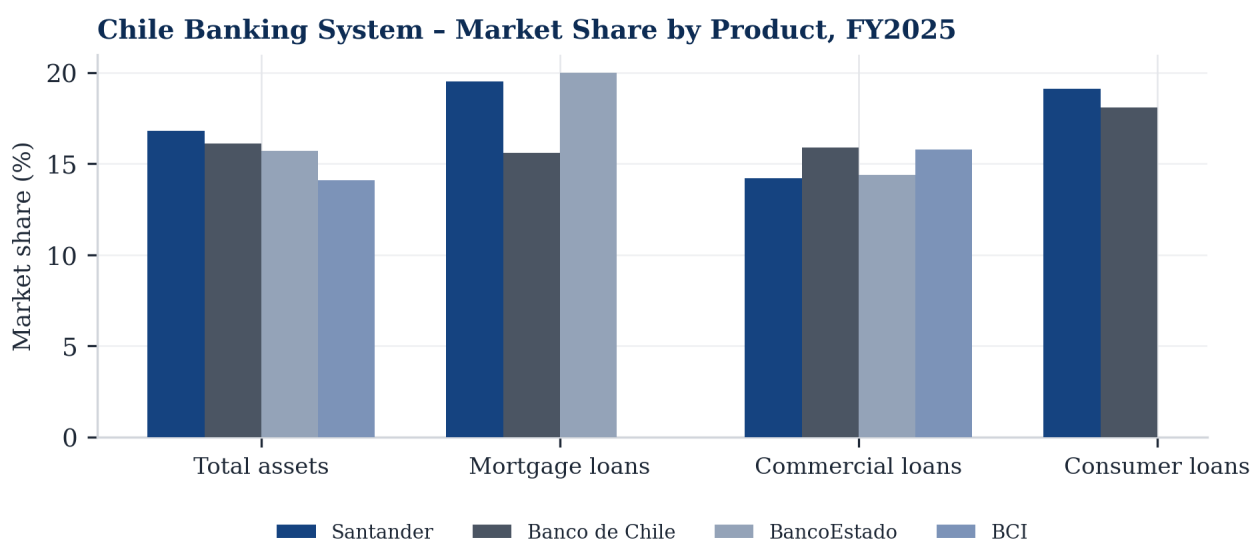


Figure 6. Chilean banking system market share by product, FY2025. Source: *Diario Financiero* / *La Tercera* analysis of CMF data, reported Jan–Feb 2026.

On profitability, the picture inverts: Santander's FY2025 net income of ~US\$1.17bn (+23.7% YoY) trailed only Banco de Chile's ~US\$1.31bn (which itself declined 1.2% YoY), and comfortably exceeded BCI's ~US\$1.09bn — despite BCI posting the fastest growth (+24.2%). The three largest private banks together grew profits 13.3% on average in 2025, helped by wider net interest margins on inflation-linked assets, two BCCh rate cuts, and continued digital cost discipline across the industry.

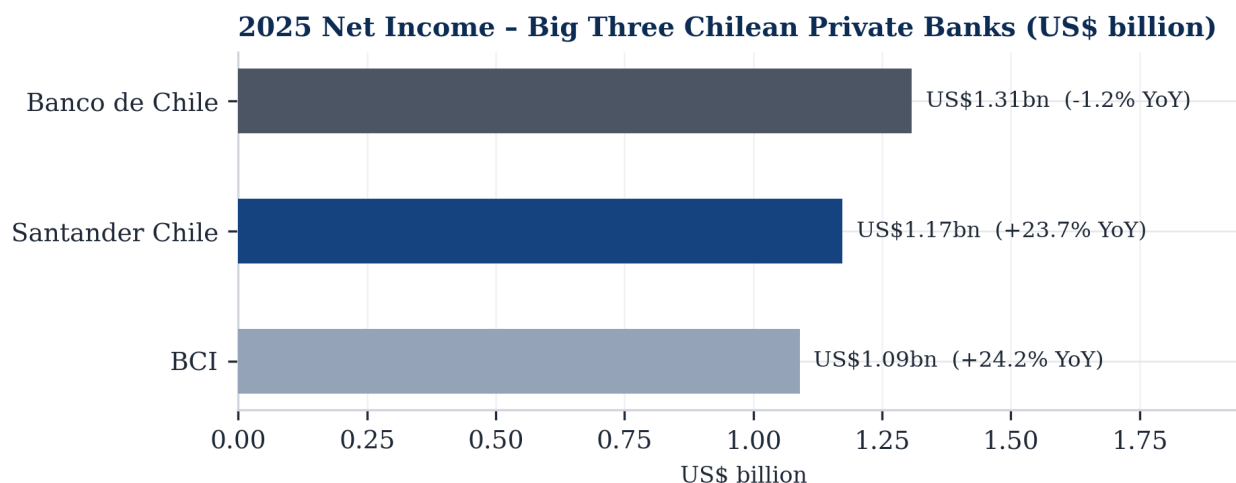


Figure 7. 2025 net income, three largest private Chilean banks. Source: *Diario Financiero*, based on individual bank results, Jan 2026.

Bank	Total assets share	2025 net income (US\$bn)	Ownership	Distinguishing position
Santander Chile	16.8% (#1)	1.17	67.2% Grupo Santander	Largest by assets; #1 consumer loans; best efficiency ratio
Banco de Chile	16.1% (#2)	1.31 (#1)	Quiñenco / Citigroup alliance	Highest 2025 profit; #1 commercial loans
BancoEstado	15.7% (#3)	n/a (state bank)	100% Chilean State	#1 in mortgages; policy/financial-inclusion mandate
BCI	14.1% (#4, domestic)	1.09	Yarur family	#1 commercial loans; large U.S. banking arm (CNB Florida)
Scotiabank Chile	mid-tier	n/a	Bank of Nova Scotia (Canada)	#3 in mortgages and consumer loans

Table 1. Comparative snapshot of the largest Chilean banks, FY2025. Sources: *rankingslatam.com* sector ranking; *La Tercera*; *Diario Financiero*; company disclosures.

Santander's competitive advantages rest on scale-driven funding costs, the deepest digital platform investment in the market (backed by Grupo Santander's global technology budget), and leadership in consumer/card lending and payments acquiring (Getnet). Its principal competitive weaknesses are a comparatively modest position in corporate/commercial lending, and the highest systemic-bank capital surcharge in the sector, which structurally caps return on the marginal unit of risk-weighted assets relative to smaller systemic peers.

5. FINANCIAL / MACRO POSITION

Santander Chile sits at the center of Chile's financial system as a deposit-taking, credit-creating intermediary between households, corporates, the government and global capital markets. Its liability side draws on retail and corporate deposits, wholesale bond funding and correspondent-bank relationships; its asset side extends credit to households (mortgages, consumer loans, cards), SMEs, mid-market and large corporates, and (via treasury) exposure to sovereign and quasi-sovereign securities and derivatives used for balance-sheet and client risk management. Chile's private pension funds (AFPs) are simultaneously large minority shareholders of the bank and major counterparties/investors in its equity and debt issuance, linking Santander Chile's performance directly

to national retirement-savings outcomes.

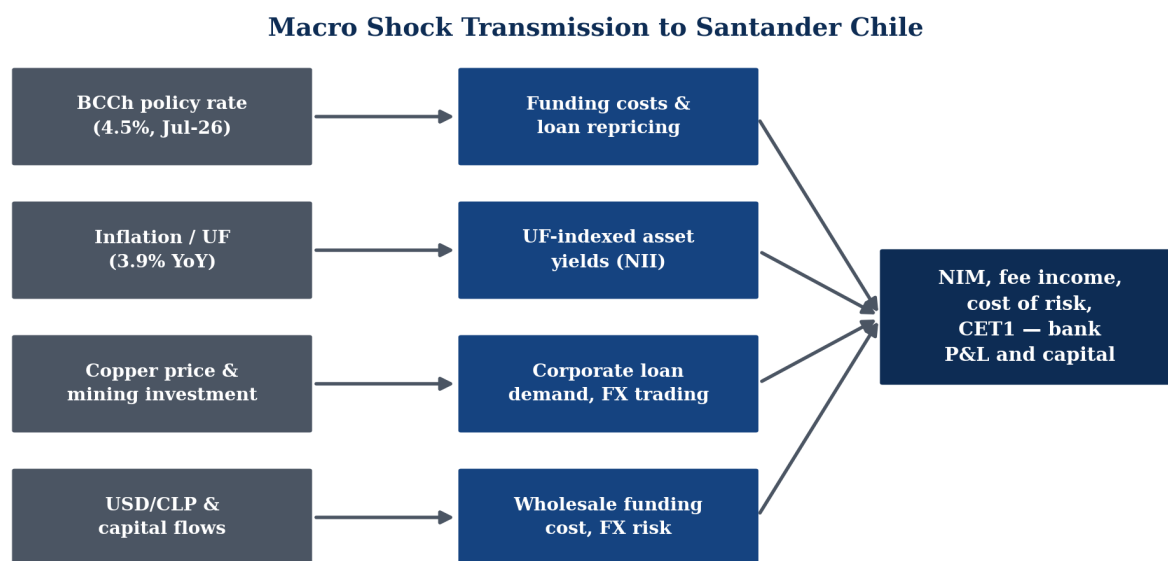


Figure 8. Macro shock transmission mechanism into bank P&L and capital. Source: author's synthesis from BCCh IPoM commentary and company earnings-call disclosures, Q4 2025 / Q1 2026.

Interest rates & inflation. As policy rates move, funding costs and loan yields reprice with differing speed and duration, directly affecting NIM; because a portion of Chilean bank assets and liabilities are UF-indexed, inflation surprises flow mechanically into net interest income independent of the nominal rate path — the compression from 4.1% to 3.8% NIM between 1Q25 and 1Q26 illustrates this as disinflation reduced UF variation from 1.2% to 0.3% quarter-on-quarter. **Growth & copper.** Chile's GDP and investment cycle are closely tied to copper prices and mining capex; stronger mining investment supports corporate loan demand and Santander's Global Banking & Markets pipeline. **Credit & the cycle.** Cost of risk is guided toward ~1.3% in 2026 as an improvement from an 'above historical average' 2025 level, with mortgage payment defaults flagged by management as a slow-moving risk masked by lengthy judicial collection processes. **Capital flows & FX.** USD/CLP volatility affects wholesale funding costs and the bank's FX-trading revenue. **Regulation.** The CMF's Basel III-based systemic-bank framework (six designated banks, three surcharge tiers) directly sets Santander's minimum capital, while a new right-of-center government (José Antonio Kast, in office since March 2026) is pursuing corporate tax cuts (27%→23% proposed), infrastructure investment and a fintech/open-finance law that could reshape competitive dynamics in payments and data-sharing over the medium term.

6. QUANTITATIVE FINANCE & DATA

Quantitative methods are embedded across several parts of the bank's operations rather than concentrated in a single 'quant' desk. **Credit risk modelling** underlies loan pricing, provisioning (IFRS 9 expected-credit-loss models) and the cost-of-risk guidance management issues each quarter. **Capital and balance-sheet optimization** is evident in the guided divergence between loan growth (5–6%) and risk-weighted-asset growth (~2%) for 2026, which implies active RWA-density management (asset mix, collateral, internal ratings) to protect the CET1 ratio under a fixed capital-surcharge constraint. **Treasury and Global Banking & Markets** activities (FX, rates, fixed income) require derivatives pricing, hedging and value-at-risk style market-risk management typical of a universal bank's markets

desk. **Digital/AI-driven operations:** management has explicitly framed 2026 strategy around 'a global platform that leverages artificial intelligence and process automation to scale efficiently,' targeting a lower cost per active client and sustaining the mid-30s efficiency ratio — consistent with machine-learning applications in fraud detection, credit decisioning, collections prioritization and client-service automation, though the bank does not disclose model-level detail publicly. **Systematic/algorithmic trading** capability is not separately disclosed and should not be assumed material to group earnings; the bank's markets activity is best characterized as client-flow and balance-sheet risk management rather than proprietary systematic trading.

7. CURRENT STATE

Santander Chile enters the second half of 2026 with profitability well above its historical range: ROAE reached 23.5% for FY2025 (its seventh consecutive quarter above 20% by the end of 2025) and 23.0% in 1Q26, comfortably inside 2026 management guidance of 22–24%. The bank's efficiency ratio continues to improve (32.5% in 1Q26), and fee income now represents 21% of total revenue, evidence of a genuine shift away from pure balance-sheet income toward recurring, capital-light fee streams (commission recurrence at 63.7%). The near-term watch items flagged directly by management are: (i) NIM compression as Chilean disinflation reduces UF-linked income (3.8% in 1Q26 vs. 4.0% for FY2025); (ii) elevated but gradually improving cost of risk, with mortgage-portfolio stress not yet fully reflected in reported ratios because of slow judicial collection; and (iii) intensifying competition in payments/acquiring, which motivated the Getnet partnership for scale and innovation. Strategically, the bank is targeting 5 million-plus customers by end-2026 (from 4.8 million in 1Q26) and continued double-digit fee growth, while macro tailwinds — 2026 GDP growth guided at 2.1–2.4%, a policy rate expected to reach a neutral ~4.25% in H1 2026, and a new government pursuing pro-investment tax and regulatory changes — support management's expectation of a 'more favorable business environment' with mid-single-digit loan growth and a stronger rebound in the second half of the year.

8. QUANTITATIVE ANALYSIS

Metric	Value	Period	Basis
Net income CAGR	~5.9% (2015–25) / ~10.5% (2020–25)	10yr / 5yr	Calculated from reported annual net income
Total assets CAGR	~4.5%	2015–25	Calculated from reported year-end assets
ROAE	23.5% (FY25) vs. 20.2% (FY24)	FY2025	Reported
ROA (implied)	~1.55%	FY2025	Calculated: net income ÷ total assets
Estimated avg. equity	~US\$5.0bn	FY2025	Calculated: net income ÷ ROAE (approximation)
Implied leverage (assets/equity)	~15x	FY2025	Calculated, using estimated equity above
NIM	4.0% (FY25) → 3.8% (1Q26)	FY25 / 1Q26	Reported
Efficiency ratio	36.0% (FY25) → 32.5% (1Q26)	FY25 / 1Q26	Reported
CET1 / BIS ratio	11.0% / 16.9%	FY2025	Reported
Cost of risk target	~1.3% (improving)	2026 guidance	Management guidance
P/E (TTM)	13.6x	Mid-2026	Market data

P/B (implied)	~3.1x	Mid-2026	Calculated: market cap ÷ estimated equity
Dividend yield	4.5–4.54%	Mid-2026	Market data / declared dividend
Beta (5yr monthly, USD ADR)	0.25	Mid-2026	Market data provider
Market share, total assets	16.8% (#1 in Chile)	FY2025	Reported / CMF data via press analysis

Table 2. Key quantitative metrics. Figures marked 'Calculated' are author-derived from reported data and should be treated as approximations, not company-disclosed figures — in particular, average shareholders' equity is backed out from reported ROAE and net income because a directly comparable FY2025 book-equity figure was not available in the sources consulted (see Data Limitations).

The 0.25 five-year beta on the USD-denominated ADR is notably low, consistent with a domestically-driven Chilean bank whose earnings are more tied to local rates, inflation and credit cycles than to global equity-market swings — a diversification-relevant characteristic for an international quantitative portfolio, though beta on the local-currency Santiago-listed shares (BSANTANDER) would be a more precise measure of pure local market risk. The ~15x implied leverage (assets to estimated equity) sits within the normal range for a well-capitalized commercial bank operating under Basel III, and is consistent with a CET1 ratio of 11.0% against risk-weighted, rather than total, assets.

FINAL SECTION

10 Facts Worth Remembering

1. Founded 23 October 1978 in Santiago; today's entity dates from the August 2003 merger with Banco Santiago.
2. Grupo Santander (Spain) owns 67.2% of the bank; Chilean pension funds (AFPs) and global asset managers hold most of the remaining institutional stake.
3. It is the largest bank in Chile by total assets (16.8% market share, FY2025), just ahead of Banco de Chile and BancoEstado.
4. It is one of six CMF-designated systemically important banks in Chile, and reportedly sits in the highest 1.75%-of-RWA capital-surcharge tier.
5. FY2025 net income reached ~US\$1.17–1.2bn, up roughly 23% year-on-year, with ROAE of 23.5%.
6. Its FY2025 efficiency ratio of 36.0% (32.5% in 1Q26) is among the best in the Chilean banking system.
7. Fee income has risen from 15% to 21% of total revenue as the bank diversifies away from pure interest income.
8. Employee headcount has fallen 14.6% since 2021 (9,988 → 8,526) alongside heavy digital-channel investment.
9. Listed on the NYSE as an ADR (BSAC, 400 shares : 1 ADR) and on the Santiago Stock Exchange (BSANTANDER).
10. Chile elected a new right-of-center government (José Antonio Kast) in December 2025, taking office in March 2026 with a pro-investment, tax-cutting agenda relevant to the bank's medium-term operating environment.

5 Important Numbers

1. US\$75.6bn — total assets, FY2025 (the basis of its #1 market position).
2. 23.5% — FY2025 return on average equity (2026 guidance: 22–24%).
3. 11.0% — CET1 capital ratio, FY2025 (16.9% total BIS ratio).
4. 16.8% — national market share by total assets, FY2025 (#1 in Chile).
5. 4.5% — approximate dividend yield on the NYSE ADR at mid-2026 prices, on a 60% FY2025 payout ratio.

5 Key Financial / Economic Mechanisms

1. UF (inflation-indexed) asset repricing transmits Chilean CPI surprises directly into net interest income, independent of the nominal policy rate.
2. The efficiency-ratio improvement (39.0% → 36.0% → 32.5%) reflects a structural mix shift toward digital self-service and fee income, not merely cost-cutting.
3. The CMF's systemic-bank capital-surcharge tiering caps the return achievable on the marginal risk-weighted asset for Santander relative to smaller systemic peers.
4. Guided RWA growth (~2%) running well below loan growth (5–6%) implies active balance-sheet optimization to protect capital ratios under a fixed surcharge.
5. As a majority-owned Grupo Santander subsidiary, capital, dividend and strategic decisions are influenced by group-level priorities in Madrid, not purely local considerations.

3 Major Risks

1. Net interest margin compression as Chilean disinflation reduces UF-linked income, evident in the drop from 4.1% (1Q25) to 3.8% (1Q26).
2. Mortgage-portfolio credit deterioration that management says is not yet fully reflected in reported cost-of-risk metrics because of slow judicial collection processes.
3. Political and regulatory transition risk under Chile's new government and an advancing Fintech/Open Finance Law, which could reshape competitive dynamics in payments and consumer lending.

3 Competitive Advantages / Disadvantages

1. Advantage: #1 scale position and funding-cost edge in the Chilean market, supporting best-in-class efficiency.
2. Advantage: leadership in consumer/card lending and a fast-growing payments-acquiring platform (Getnet) with Grupo Santander's global technology backing.
3. Disadvantage: comparatively weaker corporate/commercial-loan franchise (#4 by market share) and the sector's highest systemic capital surcharge, both structural constraints on relative returns.

3 Quantitative-Finance Connections

1. IFRS 9 expected-credit-loss and cost-of-risk models directly drive quarterly provisioning and the bank's guided 2026 cost-of-risk trajectory (~1.3%).
2. RWA-density / balance-sheet optimization models reconcile 5–6% loan growth with only ~2% RWA growth under a fixed capital-surcharge constraint.
3. AI/ML-driven credit decisioning, fraud detection and process automation are explicitly named 2026 strategic levers for sustaining the mid-30s efficiency ratio at scale.

3 Research Questions

1. How much of the FY2025 NIM expansion (3.6% → 4.0%) is structurally durable versus a one-off inflation/UF tailwind now reversing in 2026?
2. What is Santander Chile's actual cost-of-risk trajectory once mortgage-portfolio stress fully works through the (slow) Chilean judicial collection process?
3. How will the Fintech/Open Finance Law and intensifying payments competition affect Getnet's growth economics and the bank's fee-income mix over 2026–2028?

Why the Company Matters to a Quant / Investor

Santander Chile is simultaneously (i) the highest-quality large-cap read-through on the Chilean consumer and corporate credit cycle, given its #1 market share and leading consumer/card franchise; (ii) a direct transmission node for BCCh monetary policy, making its NIM and loan growth a real-time gauge of policy effectiveness; (iii) a low-beta (0.25, USD ADR), high-ROE (23%+) emerging-market financial that can serve a diversification role in a global bank portfolio; and (iv) a material earnings contributor to Grupo Santander's Latin American franchise, linking its performance to a globally systemically important bank's consolidated results and capital allocation decisions.

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DATA LIMITATIONS

- USD figures for older fiscal years (2015–2023) are approximate, third-party FX-converted values compiled by financial-data aggregators (Macrotrends) rather than figures taken directly from company filings in USD; year-on-year comparisons using these series should be treated as indicative of trend, not precise.
- FY2025 shareholders' equity was not available from a source directly comparable to the FY2025 net-income and ROAE figures used; average equity, implied leverage and implied P/B in this report are back-calculated (net income ÷ ROAE) and are explicitly flagged as estimates.
- Segment-level revenue and profit splits (by Commercial Banking, Wealth Management, CIB, etc.) were not disclosed in the sources consulted beyond the 70.4% loan-book share for Commercial Banking; the business-model diagram is therefore qualitative/illustrative rather than a precise segment P&L.
- Systemic-bank capital-surcharge tier assignment (1.75% for Santander) is based on 2021-era CMF reporting and subsequent market commentary; the most current (2025/2026) CMF tier list was not independently re-confirmed in this report and should be verified against the latest CMF publication before use in capital-planning analysis.
- Cost-of-risk (a key credit-quality metric) was referenced only qualitatively by management ('above historical average,' improving toward ~1.3%); no precise FY2025 realized cost-of-risk ratio was captured in the sources consulted.
- Market-share figures by product (mortgages, commercial, consumer loans) reflect a single press analysis of CMF data (La Tercera/Diario Financiero, early 2026) rather than the primary CMF dataset; minor definitional differences (e.g., gross vs. net loans) may exist versus official CMF releases.
- Per this project's working rules, prior OCAD reports on other institutions were not consulted in preparing this report; all context here is drawn solely from current, company- and market-specific sources.